

October 13, 2023

VIA E-MAIL

Dr. Kristen Monaco
Director, Bureau of Trade Analysis
Federal Maritime Commission
Room 940
800 North Capitol Street, N.W.
Washington, D.C. 20573

Re: **URGENT** -- REQUEST FOR SPECIAL PERMISSION –
ZIM Integrated Shipping Services Ltd.

FMC Org. No. 019210

Dear Dr. Monaco:

Pursuant to 46 C.F.R. §520.14, ZIM Integrated Shipping Services Ltd. respectfully requests permission to deviate from 46 C.F.R. §520.8(a) and to advance the effective date of a new war risk surcharge to the earliest possible date. The reasons supporting this request are set forth below.

As you are well aware, on October 7, 2023, there were a series of attacks on civilians in Israel. Armed conflict continues in the region, and there is a threat of such conflict escalating. As a result of these circumstances, ZIM's P&I Club has imposed increased premiums on vessels calling at Israeli ports. See Exhibit #1 hereto.

In order to recover a portion of the increased insurance premiums, ZIM has published a new war risk surcharge of \$100 per TEU on Rule 10 of tariffs ZIMU-516 and ZIMU-520, effective November 10, 2023. A copy of the tariff rules reflecting this new surcharge are attached hereto as Exhibit #2.

ZIM's War Risk Surcharge has been increased in order to address the imposition of a WAR RISK ADDITIONAL COVERAGE premium. Based upon the fact that the War Risk premium is based upon vessel and cargo value, and the call in Israeli ports is done only for the purpose of import and export of Goods, the War Risk Surcharge is assessed only against cargoes loading or discharging at Israeli ports. In calculating the total surcharge, we began with the understanding that the vessels employed in Liner Services to and from Israel are generally of similar size.

Dr. Kristen Monaco

October 13, 2023

Page 2

The average premium per vessel in relevant lines is divided by the average number of TEUs exported and imported from / to Israel in order to identify the average cost per TEU. With respect to Liner Services between the US and Israel, we have been informed that the average WAR RISK insurance cover will be \$150,000. Based upon our average performance of 1,500 TEU import and export per voyage - and our policy of not adding any profit margin to surcharges such as this, we have set the War Risk Surcharge at \$100 / TEU.

ZIM submits that the unexpected terrorist attacks, the continuing armed conflict and potential escalation of same, together with the resultant increase in insurance premiums on its vessels, constitute good cause within the meaning of 46 C.F.R. 520.14.

In light of the foregoing, ZIM hereby requests special permission to deviate from 46 C.F.R. §520.8(a) and to advance the effective date of its new war risk surcharge to the earliest possible date.

The \$394 filing fee for this request has been paid electronically.

Should you have any questions regarding the foregoing, please do not hesitate to contact the undersigned.

Sincerely,



Mark E. Newcomb
Vice President and General Counsel
ZIM American Integrated Shipping Services Co. LLC

EXHIBIT #1

Mihos Elena

From: Amelia Perrin <aperrin@naviummarine.com>
Sent: Friday, October 13, 2023 8:33 AM
To: Hanein Shimrit
Cc: Stephen Smith; Oliver Clark; Clive Washbourn; KEITH.PERKINS-RAMON-LDN
Subject: RE: War Risk Premium Israel - Top urgent

Information Security couldn't recognize this email as this is the first time you received an email from this sender
aperrin@naviummarine.com

[External Email]

Hi Shimrit,
I hope you and all at Zim are well and safe despite the current events.
To confirm the below, we require additional premiums and/or revised terms to be applied for all vessels calling to Israeli ports until further notice – this is market standard practice due to recent events.
Kind Regards,
Millie

Millie Perrin
Hull & War Underwriter
Navium Marine Limited
37-39 Lime Street | London | EC3M 7AY
M: +44 (0)7415 556 384
W: www.naviummarine.com

From: Hanein Shimrit <hanein.shimrit@zim.com>
Sent: 13 October 2023 09:54
To: Stephen Smith <stephen.smith@ramon.co.uk>
Cc: Keith Perkins <keith.perkins@ramon.co.uk>; Prital Yosef <prital.yosef@zim.com>
Subject: RE: War Risk Premium
Dear Steve,

We will need an email from our underwriters declaring they are now demanding a new premium due to the increased risk in Israel and so does the other insurers in the market.

A formal letter is not required.

Best regards,

Shimrit



Hanein Shimrit, Adv.

Claims, Insurance & Loss Prevention Division Manager

ZIM Integrated Shipping Services Ltd. / www.ZIM.com

hanein.shimrit@zim.com / Office: +97248653377 / Mobile: +972527773377



EXHIBIT #2

ZIMU-516 RULE 10

ISRAEL WAR RISK SURCHARGE

**AN ISRAEL WAR RISK SURCHARGE SHALL APPLY TO
ALL TARIFF AND SERVICE CONTRACT CARGO GOVERNED BY THIS
TARIFF MOVING FROM THE ISRAEL PORTS AS FOLLOWS:**

FOR CARGO RATED ON A PER CONTAINER BASIS:

HAIFA:

**USD 100 PER 20 FT. CONTAINER (ALL EQUIPMENT TYPES)
USD 200 PER 40 FT. CONTAINER (ALL EQUIPMENT TYPES)**

ASHDOD:

**USD 100 PER 20 FT. CONTAINER (ALL EQUIPMENT TYPES)
USD 200 PER 40 FT. CONTAINER (ALL EQUIPMENT TYPES)**

**THIS SURCHARGE SHALL BE PAID BY THE PARTY PAYING THE
OCEAN FREIGHT.**

ZIMU-520 RULE 10

ISRAEL WAR RISK SURCHARGE

**AN ISRAEL WAR RISK SURCHARGE SHALL APPLY TO
ALL TARIFF AND SERVICE CONTRACT CARGO GOVERNED BY THIS
TARIFF MOVING TO THE ISRAEL PORTS AS FOLLOWS:**

FOR CARGO RATED ON A PER CONTAINER BASIS:

HAIFA:

**USD 100 PER 20 FT. CONTAINER (ALL EQUIPMENT TYPES)
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